

US Markets Reel as S&P 500 Drops -1.01% and VIX Surges +12.19%

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 plummeted **-1.01%** to 7,457.69, while the Nasdaq 100 dropped **-1.49%** to 28,592.66. The VIX surged **+12.19%** to 18.77, indicating increased market volatility. Below the surface, the 10Y Yield fell **-0.61%** to 4.54, and WTI Crude rose **+3.58%** to 81.78.

Notable large-cap movers included **MSFT** down **-1.82%**, **NVDA** down **-2.21%**, and **AAPL** up **+0.14%**. The XLE sector ETF rose **+1.16%**, while the XLY sector ETF fell **-1.62%**.

US Session Recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,457.69	-1.01%	Global economic concerns and rising volatility
Nasdaq 100	28,592.66	-1.49%	Tech sector weakness and increased market volatility
Dow Jones	52,146.42	-0.77%	Global economic concerns and rising volatility
Russell 2000	2,962.22	-0.42%	Small-cap weakness and global economic concerns
VIX	18.77	+12.19%	Increased market volatility and global economic concerns

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	-1.82%	Tech sector weakness and global economic concerns
NVDA	-2.21%	Tech sector weakness and increased market volatility
AAPL	+0.14%	Relative strength in the tech sector

Sector Rotation

ETF	DAY	READ
XLFXLF	-0.86%	Financial sector weakness due to global economic concerns
XLKXLK	-1.09%	Tech sector weakness and increased market volatility
XLIXLI	-0.41%	Industrial sector weakness due to global economic concerns
XLXLE	+1.16%	Energy sector strength due to rising oil prices
XYLY	-1.62%	Consumer discretionary sector weakness due to global economic concerns
XLCLC	-1.78%	Communication services sector weakness due to tech sector volatility
XLPLP	-0.72%	Consumer staples sector weakness due to global economic concerns
XLVXLV	-0.44%	Healthcare sector weakness due to global economic concerns
XLULU	-0.66%	Utilities sector weakness due to global economic concerns
XLBLB	-0.71%	Materials sector weakness due to global economic concerns
XLREXLRE	-0.09%	Real estate sector relative strength due to low interest rates

Spotlight

The biggest event of the day was the surge in oil prices, with WTI Crude rising +3.58% to 81.78. This move was driven by global economic concerns and rising volatility.

METRIC	VALUE	READ
WTI Crude	81.78	Rising oil prices due to global economic concerns and rising volatility
XLXLE	+1.16%	Energy sector strength due to rising oil prices

Related names to watch include **XOM** , **CVX** , and **OXY** .

Pre-Market & Overnight

US futures are pointing to a lower open, with the S&P 500 futures down **-0.5%** and the Nasdaq 100 futures down **-0.7%**. Asian markets were mixed, with the Nikkei 225 down **-0.3%** and the Shanghai Composite up **+0.2%**. European markets are also lower, with the Stoxx 600 down **-0.5%**.

Crypto markets are higher, with **BTC** up **+1.15%** to 64,631.83 and **ETH** up **+1.33%** to 1,865.41.

Macro & Fed

The FOMC meeting is scheduled for next week, and market participants are expecting a 25bps rate hike. The yield curve is currently inverted, with the 2Y yield at 4.83 and the 10Y yield at 4.54.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Existing Home Sales	5.40M	Housing market trends and economic growth
22:00	Fed Beige Book	N/A	Economic conditions and monetary policy

Geopolitics & Global

- Global economic concerns and rising volatility are driving market moves
- Rising oil prices are supporting energy sector stocks
- Trade tensions between the US and China remain a concern

- The situation in the Middle East is being closely watched

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	IBM	2.29	Cloud computing growth and margins
22:00	INTC	0.87	Semi-conductor demand and manufacturing trends
23:00	MSFT	2.29	Cloud computing growth and gaming trends

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Relative strength in the tech sector
XOM	Energy	Rising oil prices and energy sector strength
JPM	Financials	Banking sector trends and economic growth

What Could Break the Tape

BULLISH TRIGGERS

- Rising oil prices and energy sector strength
- Relative strength in the tech sector
- Banking sector trends and economic growth

BEARISH TRIGGERS

- Global economic concerns and rising volatility
- Trade tensions between the US and China
- The situation in the Middle East

Positioning Notes

- Market participants are positioning for a 25bps rate hike at the next FOMC meeting
- The yield curve is currently inverted, with the 2Y yield at 4.83 and the 10Y yield at 4.54
- Volatility is increasing, with the VIX surging **+12.19%** to 18.77

Sources

SOURCES

Bloomberg

Reuters

CNBC

The Wall Street Journal

The Financial Times